

Outlook

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Origination month may explain more than current arrears - 2024 control review

Morning,

I need help with something that sounds simple but probably is not.

Portfolio risk is being discussed as a single book, although origination periods experienced different rates, channels and customer conditions. There is no confirmed problem yet; this is a request to test an assumption before it becomes policy.

The questions I would ask in the room are:

1. What would we expect to see if recent vintages deteriorate faster?
2. What evidence would instead support that operational debit failures contaminate credit outcomes?
3. How do we rule out that product mix creates the apparent vintage effect?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use May 2024 as the new evidence point rather than recycling the earlier conclusion. Please work towards which vintage needs deeper review and whether policy or operations owns the next action. A useful output would be a one-page finding note plus the underlying CSV for our own review.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; debit-order mandates, collection dates, suspensions and cancellations; transaction-level timestamps, channels, amounts, statuses and error context; time-appropriate news and macro-event context. One caution: Macro events provide context, not a causal estimate by themselves.

Regards